

Justification and Approval for Other than Full and Open Competition

"Source Selection Information – see FAR 2.101 and 3.104"

1. Identification of the agency and contracting activity.

- a. **Federal agency and contracting activity.** The U.S. Department of Health and Human Services (HHS), National Institutes of Health (NIH), National Cancer Institute (NCI)
- b. **Sponsoring organization.** NCI, Center for Cancer Research (CCR), Molecular Imaging Branch (MIB)
- c. **Program Manager information.**
 - **Program Manager's name.** [REDACTED]
 - **Mailing address.** [REDACTED]
Bethesda, MD 208 [REDACTED]
 - **E-mail address.** [REDACTED]
 - **Telephone number.** [REDACTED]

2. Nature and/or description of the action being approved.

- a. **Acquisition purpose and objectives.** The U.S. Department of Health and Human Services (HHS), National Institutes of Health (NIH), National Cancer Institute (NCI), Center for Cancer Research (CCR), Molecular Imaging Branch (MIB) requires maintenance and support for one (1) Government-owned clinical Philips Ingenia Elition 3.0T MRI scanner.

The MIB is focused on the development of advanced imaging tools to further the treatment of cancer in humans. As part of the NCI's clinical effort, the Molecular Imaging Clinic houses a Philips Ingenia Elition 3.0T MRI Scanner on which research patients are scanned. This has proven invaluable to the patients seen at the NCI. This is the only clinical MRI scanner the MIB has to scan clinical patients enrolled in on-going clinical trials

- b. **Project background.** This request is for maintenance services for a government-owned Philips Ingenia Elition 3.0T MRI Scanner. Maintenance services are currently being provided by Philips Healthcare under purchase order number 75N91023P00330 and expires May 9, 2026. Since the purchase in 2019, the MRI scanner has been either under a warranty or a service agreement directly with Philips Healthcare. There have been no other subsequent service agreements with any other vendors.

3. Description of the supplies or services required to meet the agency's needs (including the estimated value).

a. Project title. Preventive maintenance services for a government-owned clinical Philips Ingenia Elition 3.0T MRI scanner.

b. Project description.

- **Requirement type.**

- ☐ Research & development (R&D)
- ☐ R & D support services
- ☒ Support services (non-R&D)
- ☐ Supplies/equipment
- ☐ Information technology (IT)
- ☐ Construction
- ☐ Architect-engineer (A & E) services
- ☐ Design-build
- ☐ Other (specify): _____

- **Type of action. :**

- ☒ New requirement
- ☐ Follow-on
- ☐ Other (specify): _____

- **Proposed contract/order type.**

- ☒ Firm-fixed-price
- ☐ Other fixed-price (specify, e.g., fixed-price award-fee, fixed-price incentive-fee): _____
- ☐ Cost-plus-fixed-fee
- ☐ Other cost reimbursement (specify, e.g., cost-plus-award-fee, cost-plus-incentive-fee): _____
- ☐ Time and materials
- ☐ Indefinite delivery (specify whether indefinite quantity, definite quantity, or requirements): _____
- ☐ Other (specify): _____
- ☐ Completion Form ☐ Term form

- **Acquisition identification number.** PCA-NCI-00120

c. Total estimated dollar value and performance/delivery period.

The total estimated price is \$829,670.40. The period of performance shall consist of one (1) 12-month base period and three (3) 12-month option periods, as follows:

Base Period: May 10, 2026 – May 9, 2027

Option Period 1: May 10, 2027 – May 9, 2028

Option Period 2: May 10, 2028 – May 9, 2029

Option Period 3: May 10, 2029 – May 9, 2030

4. Identification of the statutory authority permitting other than full and open competition.

- ☒ This acquisition is conducted under the authority of 41 United States Code (U.S.C.) [253(c)(1) as set forth in Federal Acquisition Regulation (FAR) 6.302-1. Only one responsible source and no other supplies or services will satisfy agency requirements.
- ☐ This acquisition is conducted under the authority of section 4202 of the Clinger-Cohen Act of 1996. .
- ☐ This acquisition is conducted under the authority of the Services Acquisition Reform Act of 2003 (41 U.S.C. 428a).

5. Demonstration that the proposed contractor(s) unique qualifications or the nature of the acquisition requires use of the authority cited.

- a. **Name and address of the proposed contractor(s).** Philips Healthcare, 22100 Bothell Everett Hwy, MS 665, Bothell, WA 98041
- b. **Nature of the acquisition and proposed unique qualifications of the contractor(s).**

Philips Healthcare is currently the only known authorized service provider for the Philips Ingenia Elition 3.0T MRI Scanner. Being the manufacturer and sole service provider, Philips Healthcare is the only provider able to maintain and service the equipment in accordance with Original Equipment Manufacturer (OEM) specifications and provide critical updates to the system as needed to address system issues, or updates. Additionally, Philips Healthcare is the only company that has OEM authorized, and trained service technicians capable of performing required maintenance, repair, and support services for the Philips Ingenia Elition 3.0T MRI Scanner.

Additionally, due to intellectual property, proprietary diagnostic software, and hardware updates/upgrades, Philips is the only vendor that can provide maintenance for the scanner. Philips has also established a direct remote services network that monitors the scanner and can provide remote services capable of fixing issues, when possible, thus reducing scanner downtime.

- 6. Description of the efforts made to ensure that offers are solicited from as many potential sources as practicable. Indicate whether a SAM.gov notice was or will be publicized as required by FAR Subpart 5.2 and, if not, which exception under FAR 5.202 applies.** A Notice of Intent (NOI) to award a sole source purchase order was publicized on April 6, 2026, on SAM.gov announcing the Government's intent to obtain renewal maintenance services for imaging equipment located at the MIB on a non-competitive basis. The announcement indicated the reasoning for awarding this requirement without competition. The notice closed and no responses to the NOI were received.
- 7. Determination by the Contracting Officer that the anticipated cost/price to the Government will be fair and reasonable.**

The Contracting Officer will consider the independent government estimate and previous purchase order prices as a determining factor for reasonableness. Based on the aforementioned there is no reason to believe that the price will not be fair and reasonable to the Government. The open market rates are comparable to rates on similar contracts and historical pricing for the same services. NCI will consider market research, comparison with similar items in the marketplace, and quoted prices found reasonable on previous purchases as a determining factor for price reasonableness. A final determination by the Contracting Officer will be conducted prior to award of this contract.

- 8. Description of the market research conducted (see FAR Part 10) and the results, or a statement of the reasons market research was not conducted.**

Market research was conducted in accordance with FAR Part 10. These efforts included a review of mandatory and suggested sources as defined in FAR Part 8. As a result of these efforts the required services were identified as only being available via the Open Market. This determination was also supported by historical data related to past procurements conducted by NIH for previous services for the Philips Ingenia Elition 3.0T MRI Scanner. As a result of these efforts no other vendors were able to be identified as possessing the required resources to successfully perform maintenance services in accordance with the Governments requirements

- 9. Any other facts supporting the use of other than full and open competition.**

The NCI MIB has a research collaboration with Philips Healthcare and specific research keys are activated as related to patient scanning because of this collaboration. If another vendor other than Philips serviced the scanner, the keys would be deactivated due to confidential intellectual property requirements. As a result, the clinic will be unable to scan clinical patients. The MIB also has a direct Remote Service Network connection to Philips. This allows Philips to monitor the

MRI, view error logs, and provide remote service repairs if possible and decrease the downtime of the scanner. The service agreement with Philips also covers technical and clinical applications telephone support which is invaluable when creating new patient research protocols. The development and production of the imaging equipment was a highly complex scientific endeavor, especially where the manufacturer applied their own technical means and methods. Without access to intellectual property and patented technologies, no other vendor would be able to provide the maintenance services needed on the imaging equipment located at the NCI MIB. It would not be feasible to obtain a service / maintenance agreement to perform repair and maintenance from another vendor while upgrades will be performed to these instrumentations. If a field service engineer from other than Philips performed repair or maintenance to these instruments and a mechanical failure resulted and made the machines irreparable and not compatible with the planned required upgrades, then it would be very costly to the government to remedy.

10. Listing of sources, if any, that expressed, in writing, an interest in the acquisition.

No other sources have expressed an interest in writing.

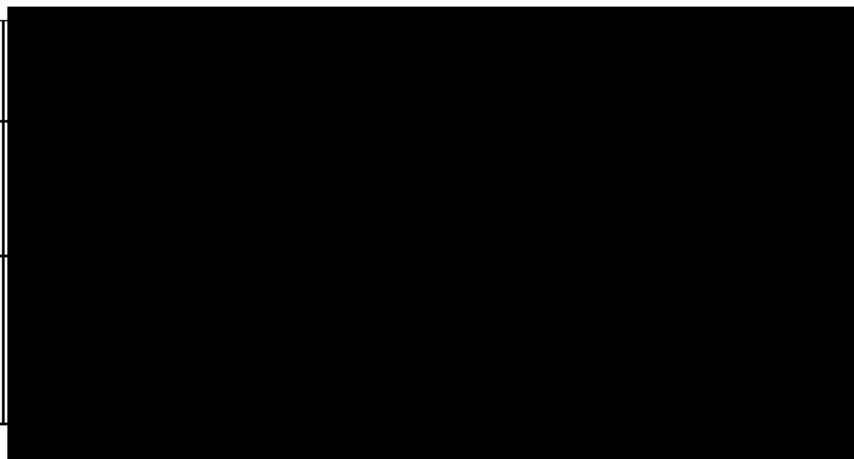
11. Statement of the actions, if any, the agency may take to remove or overcome any barriers to competition before any subsequent acquisition for the required supplies or services. It is the policy of NCI to promote the use of competitive procedures whenever and wherever possible. To remove or overcome barriers to competition in the future, the market will be scanned frequently for new companies and products that could satisfy the Government's requirement. The NCI, MIB staff meets periodically to discuss various changes to scientific products and processes. Vendor, trade magazines, and scientific publications are scanned for new, open scientific changes that can satisfy various on-going protocols. The agency will continually re-evaluate the instruments functionality and will continue to research the various manufactures and products that could be in the Government's best interest. The current situation continues to require a service maintenance agreement for imaging equipment with MIB, which is the only vendor that can perform maintenance services because they are the sole provider of the patented instruments. As a result of this future competition will be limited. NCI anticipates the needs to be met successfully under this contract. In the event additional services are required, the NCI program office and the Contracting Officer will conduct market research to determine if there are any other sources available that can provide the required services.

12. Program office certification

This is to certify that the portions of this justification that have been developed by the undersigned program office personnel, including supporting information and/or data verifying the Government's minimum needs, schedule requirements and other rationale for other than full and open competition, are accurate and complete.

Official	Name & Title	Signature	Date
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Program Manager (PM)
PM's Immediate Supervisor
Head of the Sponsoring Program Office



13. Contracting Officer Certification.

This is to certify that the justification for the proposed acquisition has been reviewed and that to the best of my knowledge and belief the information and/or data provided to support the rationale and recommendation for approval is accurate and complete.

Official	Name & Title	Signature	Date
Contracting Officer			

14. Chief of the Contracting Office and Head of the Contracting Activity signature(s).

Official	Name & Title	Signature	Date
Chief of the Contracting Office			
Head of the Contracting Activity			

15. Competition Advocate signature.

Official	Name & Title	Signature	Date
Competition Advocate			